

Agilent Technologies, Inc.
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AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED STATEMENT OF OPERATIONS
(In millions, except per share amounts)
(Unaudited)
PRELIMINARY

	Three Months Ended April 30,		Six Months Ended April 30,	
	2022	2021	2022	2021
Net revenue	\$ 1,607	\$ 1,525	\$ 3,281	\$ 3,073
Costs and expenses:				
Cost of products and services	746	708	1,510	1,418
Research and development	115	109	232	212
Selling, general and administrative	386	420	803	827
Total costs and expenses	<u>1,247</u>	<u>1,237</u>	<u>2,545</u>	<u>2,457</u>
Income from operations	360	288	736	616
Interest income	1	1	2	1
Interest expense	(21)	(20)	(42)	(39)
Other income (expense), net	<u>(7)</u>	<u>4</u>	<u>(44)</u>	<u>7</u>
Income before taxes	333	273	652	585
Provision for income taxes	59	57	95	81
Net income	<u>\$ 274</u>	<u>\$ 216</u>	<u>\$ 557</u>	<u>\$ 504</u>
Net income per share:				
Basic	\$ 0.92	\$ 0.71	\$ 1.86	\$ 1.65
Diluted	\$ 0.91	\$ 0.70	\$ 1.84	\$ 1.64
Weighted average shares used in computing net income per share:				
Basic	299	304	300	305
Diluted	301	307	302	308

The preliminary income statement is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED BALANCE SHEET
(In millions, except par value and share amounts)
(Unaudited)
PRELIMINARY

	April 30, 2022	October 31, 2021
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 1,186	\$ 1,484
Short-term investments	21	91
Accounts receivable, net	1,237	1,172
Inventory	937	830
Other current assets	262	222
Total current assets	3,643	3,799
Property, plant and equipment, net	1,010	945
Goodwill and other intangible assets, net	4,854	4,956
Long-term investments	190	185
Other assets	758	820
Total assets	<u>\$ 10,455</u>	<u>\$ 10,705</u>
LIABILITIES AND EQUITY		
Current liabilities:		
Accounts payable	\$ 503	\$ 446
Employee compensation and benefits	347	493
Deferred revenue	511	441
Short-term debt	175	—
Other accrued liabilities	277	328
Total current liabilities	1,813	1,708
Long-term debt	2,730	2,729
Retirement and post-retirement benefits	187	220
Other long-term liabilities	603	659
Total liabilities	5,333	5,316
Total Equity:		
Stockholders' equity:		
Preferred stock; \$0.01 par value; 125 million shares authorized; none issued and outstanding	—	—
Common stock; \$0.01 par value, 2 billion shares authorized; 299 million shares at April 30, 2022 and 302 million shares at October 31, 2021, issued and outstanding	3	3
Additional paid-in-capital	5,292	5,320
Retained earnings	160	348
Accumulated other comprehensive loss	(333)	(282)
Total stockholders' equity	5,122	5,389
Total liabilities and stockholders' equity	<u>\$ 10,455</u>	<u>\$ 10,705</u>

The preliminary balance sheet is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
(In millions)
(Unaudited)
PRELIMINARY

	Six Months Ended	
	April 30, 2022	April 30, 2021
Cash flows from operating activities:		
Net income	\$ 557	\$ 504
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	164	153
Share-based compensation	71	66
Excess and obsolete inventory related charges	10	14
Loss on extinguishment of debt	—	17
Asset impairment charges	—	2
Net loss (gain) on equity securities	62	(15)
Change in fair value of contingent consideration	(25)	—
Other non-cash expenses, net	9	2
Changes in assets and liabilities:		
Accounts receivable, net	(108)	(17)
Inventory	(124)	(80)
Accounts payable	54	51
Employee compensation and benefits	(144)	(3)
Other assets and liabilities	12	16
Net cash provided by operating activities ^(a)	538	710
Cash flows from investing activities:		
Investments in property, plant and equipment	(139)	(72)
Acquisition of businesses and intangible assets, net of cash acquired	(18)	(547)
Payment to acquire equity securities	(3)	(8)
Proceeds from sale of equity securities	6	—
Payment in exchange for convertible note	(1)	(2)
Net cash used in investing activities	(155)	(629)
Cash flows from financing activities:		
Issuance of common stock under employee stock plans	27	26
Payment of taxes related to net share settlement of equity awards	(64)	(73)
Issuance of senior notes	—	848
Debt issuance costs	—	(7)
Payment of dividends	(126)	(118)
Repayment of senior notes	—	(417)
Proceeds from commercial paper	575	1,232
Repayment of commercial paper	(400)	(1,102)
Treasury stock repurchases	(681)	(539)
Net cash used in financing activities	(669)	(150)
Effect of exchange rate movements	(16)	9
Net decrease in cash, cash equivalents and restricted cash	(302)	(60)
Cash, cash equivalents and restricted cash at beginning of period	1,490	1,447
Cash, cash equivalents and restricted cash at end of period	\$ 1,188	\$ 1,387
Reconciliation of cash, cash equivalents and restricted cash to the condensed consolidated balance sheet:		
Cash and cash equivalents	\$ 1,186	\$ 1,380
Restricted cash, included in other assets	2	7
Total cash, cash equivalents and restricted cash	\$ 1,188	\$ 1,387
^(a) Cash payments included in operating activities:		
Income tax payments, net	\$ 134	\$ 116
Interest payments	\$ 40	\$ 36

The preliminary cash flow is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
LIFE SCIENCES AND APPLIED MARKETS SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2022				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 976	\$ 896			
Gross margin %	60.5%	59.0%			
Income from operations	\$ 282	\$ 228			
Operating margin %	28.9%	25.5%			

	2021				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 923	\$ 881	\$ 897	\$ 962	\$ 3,663
Gross margin %	60.3%	59.9%	60.4%	59.9%	60.2%
Income from operations	\$ 265	\$ 226	\$ 250	\$ 276	\$ 1,017
Operating margin %	28.6%	25.7%	27.9%	28.7%	27.8%

Income from operations reflect the results of our reportable segments under Agilent's management reporting system which are not necessarily in conformity with GAAP financial measures. Income from operations of our reporting segments exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration and business exit and divestiture costs.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
DIAGNOSTICS AND GENOMICS SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2022				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 339	\$ 358			
Gross margin %	52.8%	56.0%			
Income from operations	\$ 68	\$ 91			
Operating margin %	20.1%	25.5%			

	2021				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 294	\$ 315	\$ 346	\$ 341	\$ 1,296
Gross margin %	51.6%	53.4%	53.5%	52.5%	52.8%
Income from operations	\$ 55	\$ 69	\$ 78	\$ 71	\$ 273
Operating margin %	18.6%	21.9%	22.6%	20.8%	21.0%

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The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
AGILENT CROSSLAB SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2022				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 359	\$ 353			
Gross margin %	47.5%	47.1%			
Income from operations	\$ 91	\$ 87			
Operating margin %	25.2%	24.6%			

	2021				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 331	\$ 329	\$ 343	\$ 357	\$ 1,360
Gross margin %	46.8%	45.3%	46.6%	48.3%	46.8%
Income from operations	\$ 76	\$ 69	\$ 84	\$ 94	\$ 323
Operating margin %	23.1%	21.0%	24.4%	26.3%	23.8%

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The preliminary segment information is estimated based on our current information.

Agilent Technologies, Inc.
Non-GAAP Financial Results Q2'21 - Q2'22
(Unaudited)

		Preliminary					
		Q2'21	Q3'21	Q4'21	Q1'22	Q2'22	Q2
M\$							Y/Y
Net Revenue		1,525	1,586	1,660	1,674	1,607	5%
Gross Profit %		55.4%	55.9%	55.9%	56.1%	55.7%	0.3 ppt
R&D		107	109	115	116	114	7%
% Revenue		7.0%	6.9%	6.9%	6.9%	7.1%	0.1 ppt
SG&A		374	366	372	383	375	0%
% Revenue		24.5%	23.1%	22.4%	22.9%	23.3%	-1.2 ppt
Operating Profit		364	412	441	441	406	12%
Operating Margin		23.9%	26.0%	26.5%	26.3%	25.3%	1.4 ppt
Other Income/ (Expense)		(14)	(17)	(18)	(12)	(11)	-21%
Pre-Tax Earnings		350	395	423	429	395	13%
Tax Rate		15%	15%	13%	14%	14%	-1 ppt
Income Tax		51	58	55	61	55	8%
Net Income		299	337	368	368	340	14%
Net Margin		19.6%	21.2%	22.2%	22.0%	21.2%	1.4 ppt
Non-GAAP EPS		\$ 0.97	\$ 1.10	\$ 1.21	\$ 1.21	\$ 1.13	\$ 0.16

We provide the non-GAAP income statements in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration, loss on extinguishment of debt, business exit and divestiture costs, pension settlement loss and net loss (gain) on equity securities.

Asset impairments include assets that have been written down to their fair value.

Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers including costs to move manufacturing, site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, tax, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

Change in fair value of contingent consideration represents changes in the fair value estimate of acquisition-related contingent consideration.

Loss on extinguishment of debt relates to the net loss recorded on the redemption of the remaining \$300 million of the \$400 million outstanding 3.2% 2022 senior notes due on October 1, 2022, called on March 5, 2021 and settled on April 5, 2021.

Business exit and divestiture costs include costs associated with business divestitures.

Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Net loss (gain) on equity securities relates to the realized and unrealized mark-to-market adjustment on our marketable and non-marketable equity securities.

Other includes certain legal costs and settlements, special compliance costs and acceleration of share-based compensation expense in addition to other miscellaneous adjustments.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results "through the eyes" of management in addition to seeing our GAAP results. This information facilitates our management's internal comparisons to our historical operating results as well as to the operating results of our competitors.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

For reconciliations of the non-GAAP financial information to the most directly comparable GAAP information, please see the non-GAAP reconciliations for all prior periods provided at the Investor's page of our website.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP AND GAAP FINANCIAL RESULTS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

GROSS MARGIN	Q2'22	Gross Margin %	Q2'21	Gross Margin %
Revenue:	\$ 1,607		\$ 1,525	
Gross margin:				
Cost of products and services	\$ 746	53.6%	\$ 708	53.6%
Add:				
Intangible amortization	(29)		(25)	
Transformational initiatives	(4)		(1)	
Acquisition and integration costs	(1)		(1)	
Business exit and divestiture costs	—		(1)	
Non-GAAP cost of products and services	<u>\$ 712</u>	55.7%	<u>\$ 680</u>	55.4%

RESEARCH & DEVELOPMENT EXPENSES	Q2'22	R&D as % of Revenue	Q2'21	R&D as % of Revenue
Revenue:	\$ 1,607		\$ 1,525	
Research and development expenses	\$ 115	7.2%	\$ 109	7.1%
Add:				
Acquisition and integration costs	(1)		(1)	
Business exit and divestiture costs	—		(1)	
Non-GAAP research and development expenses	<u>\$ 114</u>	7.1%	<u>\$ 107</u>	7.0%

SELLING, GENERAL & ADMINISTRATIVE EXPENSES	Q2'22	SG&A as % of Revenue	Q2'21	SG&A as % of Revenue
Revenue:	\$ 1,607		\$ 1,525	
Selling, general and administrative expenses	\$ 386	24.0%	\$ 420	27.5%
Add:				
Asset impairments	—		\$ (2)	
Intangible amortization	(21)		(21)	
Transformational initiatives	(5)		(8)	
Acquisition and integration costs	(6)		(11)	
Business exit and divestiture costs	\$ (7)		(1)	
Change in fair value of contingent consideration	28		—	
Other	—		(3)	
Non-GAAP selling, general & administrative expenses	<u>\$ 375</u>	23.3%	<u>\$ 374</u>	24.5%

We provide non-GAAP gross margin, research & development and selling, general & administrative expense amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs and change in fair value of contingent consideration.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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The preliminary reconciliation of gross margin, research & development expenses and selling, general & administrative expenses is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

	Q2'22	Operating Margin %	Q2'21	Operating Margin %	Year Over Year Percent Pts Inc/(Dec)
Revenue:	\$ 1,607		\$ 1,525		
Income from operations:					
GAAP Income from operations	\$ 360	22.4%	\$ 288	18.9%	
Add:					
Asset impairments	—		\$ 2		
Intangible amortization	50		46		
Transformational initiatives	9		9		
Acquisition and integration costs	8		13		
Business exit and divestiture costs	\$ 7		3		
Change in fair value of contingent consideration	(28)		—		
Other	—		3		
Non-GAAP income from operations	<u>\$ 406</u>	25.3%	<u>\$ 364</u>	23.9%	1.4%

We provide non-GAAP income from operations and non-GAAP operating margin amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs and change in fair value of contingent consideration.

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The preliminary reconciliation of income from operations and operating margins is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
NON-GAAP NET INCOME AND DILUTED EPS RECONCILIATIONS
(In millions, except per share amounts)
(Unaudited)
PRELIMINARY

	Q2'21		Q3'21		Q4'21		Q1'22		Q2'22	
	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS
GAAP net income	\$ 216	\$ 0.70	\$ 264	\$ 0.86	\$ 442	\$ 1.45	\$ 283	\$ 0.93	\$ 274	\$ 0.91
Non-GAAP adjustments:										
Asset impairments	2	0.01	—	—	—	—	—	—	—	—
Intangible amortization	46	0.15	53	0.17	51	0.17	51	0.17	50	0.17
Transformational initiatives	9	0.03	12	0.04	5	0.02	4	0.01	9	0.03
Acquisition and integration costs	13	0.04	10	0.03	9	0.03	7	0.02	8	0.03
Change in fair value of contingent consideration	—	—	—	—	(21)	(0.07)	3	0.01	(28)	(0.09)
Loss on extinguishment of debt	12	0.04	—	—	—	—	—	—	—	—
Business exit and divestiture costs	3	0.01	—	—	1	—	—	—	7	0.02
Pension settlement loss	—	—	—	—	1	—	—	—	—	—
Net loss (gain) on equity securities	(11)	(0.04)	(8)	(0.03)	(73)	(0.24)	45	0.15	16	0.05
Other	3	0.01	1	—	2	0.01	—	—	—	—
Adjustment for taxes ^(a)	6	0.02	5	0.03	(49)	(0.16)	(25)	(0.08)	4	0.01
Non-GAAP net income	<u>\$ 299</u>	<u>\$ 0.97</u>	<u>\$ 337</u>	<u>\$ 1.10</u>	<u>\$ 368</u>	<u>\$ 1.21</u>	<u>\$ 368</u>	<u>\$ 1.21</u>	<u>\$ 340</u>	<u>\$ 1.13</u>

^(a) The adjustment for taxes excludes tax expense (benefits) that management believes are not directly related to on-going operations and which are either isolated or cannot be expected to occur again with any regularity or predictability. For the three months ended April 30, 2021 and July 31, 2021, management used a non-GAAP effective tax rate of 14.75%. For the three months ended October 31, 2021, management used a non-GAAP effective tax rate of 13.00%. For the three months ended January 31, 2022, management used a non-GAAP effective tax rate of 14.25%. For the three months ended April 30, 2022, management used a non-GAAP effective tax rate of 13.92%.

We provide non-GAAP net income and non-GAAP net income per share amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration, loss on extinguishment of debt, business exit and divestiture costs, pension settlement loss and net loss (gain) on equity securities.

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Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers including costs to move manufacturing, site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, tax, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

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Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Net loss (gain) on equity securities relates to the realized and unrealized mark-to-market adjustments for our marketable and non-marketable equity securities.

Other includes certain legal costs and settlements, special compliance costs and acceleration of share-based compensation expense in addition to other miscellaneous adjustments.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results "through the eyes" of management in addition to seeing our GAAP results. This information facilitates our management's internal comparisons to our historical operating results as well as to the operating results of our competitors.

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The preliminary non-GAAP net income and diluted EPS reconciliation is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY SEGMENT
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
	Q2'22	Q2'21	Year-over-Year % Change
GAAP Revenue by Segment			
Life Sciences and Applied Markets Group	\$ 896	\$ 881	2%
Diagnostics and Genomics Group	358	315	14%
Agilent CrossLab Group	353	329	7%
Agilent	\$ 1,607	\$ 1,525	5%

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		Current Quarter Currency Impact ^(b)
	Q2'22	Q2'21	% Change	% Change	Percentage Point Impact from Currency	
Non GAAP Revenue by Segment						
Life Sciences and Applied Markets Group	\$ 896	\$ 881	2%	4%	-2 pts	\$ (16)
Diagnostics and Genomics Group	355	315	13%	15%	-2 pts	(8)
Agilent CrossLab Group	353	329	7%	10%	-3 pts	(8)
Agilent (Core)	\$ 1,604	\$ 1,525	5%	7%	-2 pts	\$ (32)

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY REGION
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
<u>GAAP Revenue by Region</u>	Q2'22	Q2'21	Year-over-Year % Change
Americas	\$ 659	\$ 581	13%
Europe	423	415	2%
Asia Pacific	525	529	-1%
Total Revenue	<u>\$ 1,607</u>	<u>\$ 1,525</u>	5%
China and Hong Kong	\$ 283	\$ 291	-3%

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		Current Quarter Currency Impact ^(b)
<u>Non GAAP Revenue by Region</u>	Q2'22	Q2'21	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency	
Americas	\$ 656	\$ 581	13%	13%	—	\$ 2
Europe	423	415	2%	7%	-5 pts	(22)
Asia Pacific	525	529	-1%	1%	-2 pts	(12)
Total Revenue (Core)	<u>\$ 1,604</u>	<u>\$ 1,525</u>	5%	7%	-2 pts	<u>\$ (32)</u>
China and Hong Kong	\$ 283	\$ 291	-3%	-3%	—	\$ 2

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY MARKET
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
	Year-over-Year		
<u>GAAP Revenue by Market</u>	Q2'22	Q2'21	% Change
Pharmaceutical	\$ 589	\$ 531	11%
Academia and government	146	143	2%
Diagnostics and clinical	241	233	3%
Chemical and energy	335	314	7%
Food	137	144	(5%)
Environmental and forensics	159	160	(1%)
Total Revenue	<u>\$ 1,607</u>	<u>\$ 1,525</u>	5%

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	Year-over-Year			Year-over-Year	Percentage Point	Current Quarter
<u>Non GAAP Revenue by Market</u>	Q2'22	Q2'21	% Change	% Change	Impact from Currency	Currency Impact ^(b)
Pharmaceutical	\$ 589	\$ 531	11%	13%	-2 ppts	\$ (11)
Academia and government	146	143	2%	5%	-3 ppts	(4)
Diagnostics and clinical	238	233	2%	5%	-3 ppts	(6)
Chemical and energy	335	314	7%	9%	-2 ppts	(6)
Food	137	144	(5%)	(3%)	-2 ppts	(2)
Environmental and forensics	159	160	(1%)	1%	-2 ppts	(3)
Total Revenue (Core)	<u>\$ 1,604</u>	<u>\$ 1,525</u>	5%	7%	-2 ppts	<u>\$ (32)</u>

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
NET DEBT TO ADJUSTED EBITDA CALCULATION
(in millions, except ratio data)
(Unaudited)
PRELIMINARY

	As of April 30, 2022
Long-term debt	\$ 2,730
Short-term debt	175
Cash & cash equivalents	(1,186)
Net debt	\$ 1,719

	Q3'21	Q4'21	Q1'22	Q2'22	Trailing 12- Month
GAAP net income	\$ 264	\$ 442	\$ 283	\$ 274	\$ 1,263
Intangible amortization	53	51	51	50	205
Transformational initiatives	12	5	4	9	30
Acquisition and integration costs	10	9	7	8	34
Change in fair value of contingent consideration	—	(21)	3	(28)	(46)
Business exit and divestiture costs	—	1	—	—	1
Pension settlement loss	—	1	—	—	1
Net loss (gain) on equity securities	(8)	(73)	45	16	(20)
Other	1	2	—	7	10
Adjustment for taxes	5	(49)	(25)	4	(65)
Non-GAAP net income	\$ 337	\$ 368	\$ 368	\$ 340	\$ 1,413
Add:					
(1) Net interest expense	\$ 21	\$ 20	\$ 20	\$ 20	\$ 81
GAAP provision for income taxes	63	6	36	59	164
Adjustment for taxes	(5)	49	25	(4)	65
(2) Non-GAAP provision for income taxes	\$ 58	\$ 55	\$ 61	\$ 55	\$ 229
(3) Depreciation expense	\$ 31	\$ 33	\$ 31	\$ 32	\$ 127
Adjusted EBITDA					\$ 1,850
Net debt to adjusted EBITDA ratio					0.9

The preliminary net debt to adjusted EBITDA ratio is estimated based on our current information.